No. 18-0918

IN THE

Supreme Court of the United States

IN RE BACKSTREETS PLOWING INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER,

v.

MILTON WEINBERG. RESPONDENT.

On Writ of Certiorari for the Thirteenth Circuit Court of Appeals

BRIEF FOR THE PETITIONER

Team #35
Counsel for Petitioner

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?
2. Whether 11 U.S.C. §503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

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OPINIONS BELOW

The Bankruptcy Court for the District of Moot denied the petitioner's motion to find that the respondent had violated the automatic stay under 11 U.S.C. § 362(a)(3) by refusing to turnover snow plow vehicles repossessed by the respondent prior to the debtor's filing of a chapter 11 Bankruptcy petition. R. at 6. The Bankruptcy Court also granted the respondent's motion for an administrative expense for having made a substantial contribution to the bankruptcy estate under 11 U.S.C. § 503(b)(3)(D). R. at 7-8. Both issues were consolidated and appealed to the Bankruptcy Appellate Panel for the 13th Circuit, which upheld both rulings of the Bankruptcy Court. R. at 8. In an unreported opinion, the Court of Appeals for the 13th Circuit affirmed both issues in favor of the respondent. R. at 3. The opinion of the 13th Circuit has been reproduced as the record on appeal for this brief.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATEMENT OF FACTS

I. Procedural History

This matter arises from a chapter 11 petition filed on February 4, 2017 by the debtor Backstreets Plowing, Inc. with the United States Bankruptcy Court for the District of Moot. R. 3, 6. The debtor filed a motion requesting the court to determine that the retention of snow plow trucks by Mr. Weinberg, the respondent, violated the automatic stay under section 362(a)(3). R. 6. The bankruptcy court ruled in favor of the respondent. *Id.* The debtor filed a timely appeal of the court's decision in March 2017 to the Appellate Panel for the Thirteenth Circuit. *Id.*

Following the appeal, the debtor voluntarily converted his chapter 11 case to a chapter 7 case. R. 7. A trustee was appointed to administer and liquidate the bankruptcy estate on April 13, 2017. *Id.* at 7. The trustee filed a complaint against Patti Clemons to void and recover avoidable fraudulent transfers under §§ 548 and 550. A settlement was reached whereby Patti Clemons paid $75,000 to the estate to satisfy the claims asserted in the trustee's adversarial proceeding. *Id.*

Mr. Weinberg filed a motion seeking allowance of $25,000 in administrative expenses for making a substantial contribution to the bankruptcy estate. *Id.* at 8. The bankruptcy court granted the respondent's motion and granted an allowed administrative expense of $25,000. *Id.* The trustee timely appealed the bankruptcy court's award to the Appellate Panel for the Thirteenth Circuit. *Id.* The bankruptcy court approved the sale of assets excluding the snow plow trucks to Stone Pony in February 2018. *Id.* at 9.

The two parties agreed to a consolidation of the two appeals to the appellate panel by the trustee. *Id.* The Appellate Panel for the Thirteenth Circuit affirmed the bankruptcy court on both issues. *Id.* The trustee timely appealed both decisions to this court. *Id.*

II. Facts of the Case

The debtor is a seasonal snow plowing business in the state of Moot. The business was owned and operated by Christopher "Big Man" Clemons. R. at 3. The debtor was headquartered in the City of Badlands, Moot. The debtor realized that he would need to purchase new snow plow trucks to compete for a contract with the City of Badlands for the winter of 2015-2016. *Id.* at 3-4. The contract offered by the City was a flat rate for the entire winter but guaranteed only one year of work with the option of renewal in the sole hands of the Badlands city council. *Id.* at 4-5.

In the spring of 2015, the debtor decided to purchase new snow plow trucks to avoid the significant costs associated with maintaining and repairing his older trucks. *Id.* at 3. The new trucks would enable the debtor to compete for a snow plowing contract with the City of Badlands. *Id*. The debtor borrowed $450,000 from the respondent, an acquaintance from Clemons' bowling club, to finance the purchase of the new trucks. *Id.* at 4. The debtor granted the respondent a security interest in the new trucks to secure repayment of the loan. *Id.* The debtor also personally guaranteed the loan. *Id.* The debtor agreed to begin repaying the loan in December 2015, after the business would start to receive revenue from the plowing contract. *Id*. The debtor purchased the new trucks in August 2015. *Id.* After purchasing the new trucks, the debtor was awarded the contract for the winter of 2015-2016. *Id.*

In October 2015, Clemons and the respondent had a falling out due to their enthusiasm for their alma maters. Clemons was an alumnus of the University of Moot. *Id.* The respondent was an alumnus of Moot State University. *Id.* The parties stopped talking to each other after a heated argument over which football team was better in October 2015. *Id.* at 5

During the winter of 2015-2016, the City of Badlands experienced an unusually mild winter. *Id.* The debtor incurred lower labor, maintenance and fuel costs due to the mild winter. *Id.*

The debtor generated revenue, but did not make any loan payments to the respondent under the note. *Id.* By February 2016, the debtor had yet to make any loan payments to the respondent. *Id.*

The respondent attempted to call the debtor by phone in order to settle repayment with the debtor. *Id.* After receiving no responses from the debtor, the respondent met with the Clemons in person in late February 2016. *Id.* After another heated argument between the parties, the respondent was forcibly removed from the premises of the debtor's property. *Id.*

The respondent filed suit on the note, as well Clemons' personal guarantee, in the State of Moot Circuit Court in Asbury Park County in April 2016. *Id*. The court granted the respondent a default judgement against Clemons and the debtor, holding them jointly and severally liable for $450,000 plus interest and fees. *Id.*

The 2016-2017 winter was much more brutal for the City of Badlands, which lead to substantial losses for the debtor. *Id.* at 5-6. At the same time, the respondent began his efforts to collect on his judgement in January 2017. *Id.* at 6. In January 2017, the respondent hired a repossession company to collect the trucks from the debtor's parking lot. *Id.* The trucks were delivered to the respondent and remain stored in a warehouse belonging to the respondent to this day. *Id.* The respondent has made no attempts to initiate any foreclosure proceedings regarding the trucks, and they remain titled in the name of the debtor. *Id.* at 4.

The debtor was unable to fulfill the 2016-2017 contract with the City of Badlands due to the repossession of the trucks. *Id.* at 6. The city threatened legal action for damages against the debtor for failing to fulfill the contract. *Id*. The debtor then decided to file for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Moot. *Id.* at 3,6. The debtor's attorneys sent a letter to the respondent demanding the return of the trucks. *Id.* at 6. The respondent refused to comply with the debtor's request. *Id.* The debtor voluntarily converted their Chapter 11 Bankruptcy case to a Chapter 7 Bankruptcy On April 13, 2017 after being informed by the City of

Badlands that they would not be renewing their contract with the debtor for the 2017-2018 winter. *Id.* at 7. A trustee was also assigned to administer the bankruptcy estate. *Id.*

The respondent hired a collection law firm in May 2017 to investigate Clemons after the case was converted to a Chapter 7 proceeding. *Id*. The investigation uncovered that the debtor made a transfer of $100,000 to his daughter, Patti Clemons, prior to the respondent's initial suit against the debtor and Clemons. *Id*. The respondent volunteered this information to the petitioner and the petitioner filed a complaint against Patti Clemons to recover the funds. *Id*. A settlement was reached between the parties whereby $75,000 would be paid by Patti Clemons to the estate. *Id*. The respondent incurred $25,000 in legal fees for the investigation. *Id*.

In September 2017, the petitioner received an offer from Tenth Avenue Free, Inc. to purchase all of the debtor's assets. *Id*. at 8. The offer was contingent on immediate possession and conveyance of title for the trucks. *Id*. The petitioner then sought to negotiate the turnover of the trucks from the respondent to the estate, but the respondent again refused to turnover the trucks. *Id*. After the sale with Tenth Avenue fell through, the petitioner agreed to a deal in January 2018 with Stone Pony for the entirety of the debtor's assets. *Id.* The deal was $100,000 less than what was offered by Tenth Avenue. *Id*. The sale was approved by the Bankruptcy Court in February 2018. *Id*.

SUMMARY OF THE ARGUMENT

The respondent violated the automatic stay under § 362(a)(3) of the Bankruptcy Code by retaining possession of prepetition repossessed bankruptcy estate property after the debtor filed for Chapter 11 Bankruptcy.

First, The language of 11 U.S.C. § 362(a)(3) incorporates any act to exercise control over property of the bankruptcy estate. The snow plow trucks are part of the debtor's bankruptcy estate under 11 U.S.C. § 541(a)(1). The respondent's multiple refusals to turnover the vehicles to the

debtor under their Chapter 11 Bankruptcy proceeding, and to the trustee after conversion to a Chapter 7 Bankruptcy proceeding, constitute an act that exercised the creditor's control over property of the bankruptcy estate. This is supported by numerous other sections of the Bankruptcy Code that are also applicable to 11 U.S.C. § 362(a)(3).

A creditor is not able to disregard 11 U.S.C. § 362(a)(3) based on a mistaken belief that adequate protection must be offered before a turnover of estate property can occur. The exact language of 11 U.S.C. § 542(a) shows that turnover of estate property is self-executing, while the granting of adequate protection under 11 U.S.C. § 363(e) is not self-executing and will only be granted on request. To interpret these sections of the Bankruptcy Code in any other manner would diminish or destroy the value of the bankruptcy estate and the authority of a debtor or trustee in bankruptcy proceedings. Therefore, the 13th Circuit Court of Appeals erred in ruling that retention of estate property, lawfully repossessed prepetition, was not a violation of 11 U.S.C. § 362(a)(3).

Second, awarding administrative expenses in chapter 7 cases without prior court approval will largely produce inequitable results. Congress intended to omit chapter 7 cases from § 503(b)(3)(D) because of the level of authority they receive under § 507(a)(2). The respondent could have avoided the present situation by seeking prior court approval for administrative expenses for his investigation pursuant to 503(b)(3)(B). The respondent will still be able to recover from the estate via the personal guarantee from the original loan and his security interest in the trucks.

The respondent cannot overcome the presumption against administrative expenses against chapter 7 cases because his actions were not a necessary expense to preserve the estate. The business in this matter was already inoperable. The respondent's payment was in furtherance of preserving his own interest from the estate, but was not a necessary expense to preserve the estate.

A sensible negative inference can be drawn from the exclusion of chapter 7 cases from § 503(b)(3)(D) for two reasons. First, the connection between § 503(b)(3)(D) and § 507(a)(2) supports a negative inference against the exclusion of chapter 7 cases due to the level of priority given. Second, the use of the word "or" in § 503(b)(3)(D) excludes any other possibilities under the section. "Or" also establishes the natural association between chapter 9 and chapter 11 as the only two situations in which a court will grant administrative expenses without prior court approval.

The infrequency of awarding administrative expenses in chapter 7 cases is due to their general rejection by courts en masse. The cases cited by the lower court to justify the non-exhaustive nature of 503(b) are not applicable to this matter. The matters cited focus on unique situations such as post-petition interest, receiver negligence, and environmental damage. In contrast, the present matter is focused on the infrequency of awarding administrative expenses in chapter 7 cases without prior court approval. An infrequent situation is not synonymous with a unique situation. Administrative expenses in chapter 7 cases are infrequent, but not unique.

The framing of an administrative expense in a chapter 7 case as a unique claim is not practical. The respondent's claim is not unique. It arises from an investigation into fraudulent transfers. Creditors routinely make substantial contributions to benefit estates in chapter 9 and chapter 11 cases. While this is infrequent in chapter 7 cases, it is not unique.

For these reasons, this court must reverse the ruling of the 13th Circuit Court of Appeals and remand this case back to the United States Bankruptcy Court for the District of Moot.

ARGUMENT

I. Standard of Review

The issues in this case involve questions of law as it relates to the correct interpretation of sections of the Bankruptcy Code. R. at 9. When reviewing a decision of the Bankruptcy Court, the

standard of review is *de novo*. *In re Charbono*, 790 F.3d 80, 84-85 (1st Cir. 2015); *In re Soileau*, 488 F.3d 302, 305 (5th Cir. 2007). The reviewing court should therefore give no deference to the decision of the Bankruptcy Court and instead rule on the issues presented as if it were the original trial court. *Razavi v. Comm'r of Internal Revenue*, 74 F.3d 125, 127 (6th Cir. 1996).

II. Retaining Possession of Property of the Bankruptcy Estate is a Violation of 11 U.S.C. § 362(a)(3)

The automatic stay is violated when a creditor retains property of the bankruptcy estate that was lawfully repossessed as collateral prior to the filing of a bankruptcy petition. In 1984, Congress amended the Bankruptcy Code with the *Bankruptcy Amendment and Federal Judgeship Act*, Pub. L. No. 98-353, 98 Stat. 333 (1984). Congress added language to 11 U.S.C. § 362(a)(3) to read that "any act to obtain possession of property of the estate or of property from the estate *or to exercise control over property of the estate*;" is a violation of the automatic stay. 98 Stat. at 441 (emphasis added). This language has led to disagreement between the Circuit Courts as to the correct interpretation of the statute and its relation to property of the bankruptcy estate that was lawfully repossessed prior to the bankruptcy petition. *In re Weber,* 719 F.3d 72 (2d Cir. 2013); *Thompson v. General Motors Acceptance Corp., LLC,* 566 F.3d 699 (7th Cir. 2009); *In re Knaus*, 889 F.2d 773 (8th Cir. 1989); *In re Del Mission, Ltd.*, 98 F.3d 1147 (9th Cir. 1996); *In re Cowen*, 849 F.3d 943 (10th Cir. 2017); *United States v. Inslaw*, 923 F.2d 1467 (D.C. Cir. 1991).

The split between the circuit courts centers around whether retention of lawfully repossessed estate property, after the filing of a bankruptcy petition, constitutes an "act…to exercise control over property of the estate" as written in § 362(a)(3). The majority of Circuit Courts have held that such retention of estate property violates the automatic stay because it constitutes an act to exercise control over property of the estate. *Weber*, 719 F.3d at 79 ("We need consult only an ordinary dictionary to confirm that a typical definition of 'control is: 'To exercise

authority over; direct; command.'") In opposition, a minority of Circuit Courts have held that passive retention of bankruptcy estate property does not a constitute an "act" as envisioned by § 362(a)(3). *Cowen*, 849 F.3d at 949 ("'[U]se of the word 'control' in the 1984 amendment to § 362(a)(3) suggests that the drafters meant to distinguish the newly prohibited 'control' from the already-prohibited acts to obtain 'possession,' in order to reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest.'"); *see also In re Hall*, 502 B.R. 650 (Bankr. D.D.C. 2014). The majority approach is the correct interpretation. A creditor's retention of estate property, after the filing of a bankruptcy, is an act to exercise control of property of the estate as encompassed by the language of § 362(a)(3). This interpetaion works in harmony with the other applicable sections of the Bankruptcy Code while also furthering the primary purpose of Bankruptcy proceedings. Therefore, this court should hold that the respondent willfully violated § 362(a)(3) by retaining possession of estate property after the filing of the bankruptcy petition.

A. A Debtor's Vehicle, Lawfully Repossessed Prior to the Bankruptcy Petition, is Still a Part of the Bankruptcy Estate

The petitioner's snow plow trucks are a part of the bankruptcy estate. Under the Bankruptcy Code, a debtor's estate "is comprised of all the following property, *wherever and by whomever held*:" 11 U.S.C. § 541(a) (emphasis added). Under subsection (a)(1), property of the estate includes "[A]ll legal or equitable interests of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1). "A debtor retains a legal interest, within the meaning of section 541(a)(1), in a vehicle repossessed prior to the filing of the debtor's petition so long as the debtor continues to hold legal title to the vehicle under applicable state law." *In re Rutherford*, 329 B.R. 886, 890 (Bankr. N.D. Ga. 2005).

Under the precedent of *United States v. Whiting Pools, Inc*., it is undisputed by either the majority or the minority approach that the estate includes "[P]roperty of the debtor that has been seized by a creditor prior to filing of a petition…". *United States v. Whiting Pools, Inc*., 462 U.S. 198, 209 (1983). The court determined that "Both the congressional goal of encouraging reorganization, and Congress' choice of methods to protect secured creditors, suggest that Congress intended a broad range of property to be included in the estate." *Id.* at 204. The court clarified that the estate includes "[P]roperty of the estate in which a creditor has a secured interest." *Id.* at 203.

The 13th Circuit below did not dispute that the snow plow trucks remain titled in the name of the debtor under applicable non-bankruptcy laws. R. at 6, n. 4. No disposition or foreclosure of the vehicles had occurred prior to the petitioner's bankruptcy petition on February 4, 2017 despite the respondent's judgement in the State of Moot Circuit Court in October 2016 and repossession of the vehicles in January 2017. R. at 6-7, *see also* R. at 10, n. 5 ("legal [as well equitable title] remained with the Debtor on the petition date."). The seized vehicles are within the scope of § 541(a)(1) and subject to the limitations of the automatic stay under § 362(a)(3).

B. Refusal to Return Property of the Bankruptcy Estate is an "[A]ct…to Exercise Control Over Property of the Estate"

Because a refusal to return repossessed estate property exerts a creditor's influence and control over the property, and to the detriment of the debtor, it constitutes an act to exercise control under § 362(a)(3). When interpreting a statute, a reviewing court must always start with the language of the statute. *Duncan v. Walker*, 533 U.S. 167, 172 (2001) ("Our task is to construe what Congress has enacted. We begin, as always, with the language of the statute."). "When interpreting statutes, courts strive to give effect to the plain meaning of the statutory text." *In re Peake*, 588 B.R. 811, 828 (Bankr. N.D. Ill. 2018). "When the words of a statute are unambiguous, then, the

first canon is also the last: 'judicial inquiry is complete.'" *Connecticut Nat. Bank v. Germain*, 503 U.S. 249, 254 (1992) (citing *Rubin v. United States*, 449 U.S. 424, 430 (1981); *see also Cowen*, 849 F.3d at 949 ("When 'the statutes language is plain, the sole function of the courts is to enforce it according to its terms.'") (citing *In re Frieouf*, 938 F.2d 1099, 1102–03 (10th Cir. 1991).

The relevant language of § 362(a)(3) states:

> (a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title [omitted] operates as a stay, applicable to all entities, of—…
>
> > (3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

Congress' amendments to the Bankruptcy Code in 1984 demonstrated their "intent to expand the prohibited conduct beyond mere possession." *Thompson*, 566 F.3d at 702. "11 U.S.C. § 362(a)(3) is quite broad, but at the same time it is specific and not unlimited in scope." *Matter of Brown*, 210 B.R. 878, 882 (Bankr. S.D. Ga. 1997). The definition of "control" includes "To exercise authority over; direct; command," MERRIAM-WEBSTER'S DICTIONARY, https://www.merriam-webster.com/dictionary/control (last visited January 21, 2018), "The ability to manage a machine, vehicle, or other moving object," OXFORD ENGLISH DICTIONARY, https://en.oxforddictionaries.com/definition/control (last visited January 21, 2018), and "The direct or indirect power to govern the management and policies of a person or entity," BLACK'S LAW DICTIONARY (10th ed. 2014). An outright denial from a creditor to the debtor or trustee to return estate property falls under these definitions because of how it limits the property's necessary use to the detriment of others. *Thompson*, 566 F.3d at 702 ("Holding onto an asset, refusing to return it, and otherwise prohibiting a debtor's beneficial use of an asset all fit within this definition, as well as within the commonsense meaning of the word.) (citations omitted); *see also In re Yates*, 332 B.R. 1, 5 (B.A.P. 10th Cir. 2005) (abrogated by *Cowen*, 849 F.3d 943) ("On a more practical

level, common understanding dictates that if the exercise of control means anything, it means the ability to keep others from access to or use of an object.") .

The minority approach adopted by the 13th Circuit below misinterprets § 362(a)(3) by requiring a creditor to have done something new or have gained some new power over the estate property in order to violate § 362(a)(3). *Hall*, 502 B.R. at 650 ("[I]t is only an affirmative act to change control of property of the estate that can give rise to a violation of § 362(a)(3)."; *see also Cowen*, 849 F.3d at 949 ("'Act,' in turn, commonly mens to 'take action' or 'do something.' This section, then stays entities from doing something to obtain possession of or to exercise control over the estate's property.") (citations omitted). But this interpretation ignores the plain meaning of the statute's language. Eugene R. Wedoff, *The Automatic Stay Under §362(a)(3)-One More Time*, 38 No. 7 BANKR. L. LETTER NL 1 (July 2018) ("While 'gain' refers to a past achievement ('[t]o come into possession or use of; acquire'), 'exercise,'-the statutory term-refers to ongoing activity ('[t]o put into play or operation, employ'). The plain meaning of exercising control in § 362(a)(3) applies to continuing exclusive possession of collateral.") (footnote omitted).

§ 362(a)(3) does not require a new act or event. § 362(a)(3). It merely requires an act to exercise control over the estate property. *Id.* A creditor takes action by making a deliberate choice that affects the debtor and the bankruptcy estate by refusing to turnover estate property. Wedoff, 38 No. 7 Bankruptcy Law Letter NL 1 ("But, of course, the creditors in each of the majority decisions did 'do something'—they prevented the debtors from obtaining access to the collateral.") Because a creditor makes a deliberate choice, and stands by that choice, it is a mistake to characterize a creditor's actions as "passively retain[ing] possession." *Cowen*, 849 F.3d at 950 ("It does not cover 'the act of passively holding onto an asset,'") (citing *Thompson*, 566 F.3d at 703); *but see Passive*, BLACK'S LAW DICTIONARY (10th ed. 2014) ("Not involving *active participation*;") (emphasis added); *see also Act*, BLACK'S LAW DICTIONARY (10th ed. 2014) ("The process of doing

or performing; *an occurrence that results from a person's will being exerted on the external world*;") (emphasis added).

The respondent's action undoubtedly qualifies as an act to exercise their control over estate property as encompassed by the plain meaning of § 362(a)(3). The respondent refused to turn over the vehicles not once, but twice. R. at 6-9. The respondent is the sole entity in possession of the trucks, which are stored in his own warehouse to the exclusion of all others. *Id.* at 6. The respondent's continuous refusal to turn over the vehicles cost the debtor's estate $100,000 due the failure to complete a sale of the vehicles with one of the debtor's competitors. *Id.* at 8-9. These actions were not a passive or involuntary consequence, but a deliberate act to exert the creditors will and influence over the fortunes of the debtor. *See Passive*, BLACK'S LAW DICTIONARY. Congress expanded the language of § 362(a)(3) "[I]n order to reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest." *Cowen*, 849 F.3d at 949; *see also Thompson*, 566 F.3d at ("Moreover, to hold that "exercising control" over an asset encompasses only selling or otherwise destroying the asset would not be logical given the central purpose of…bankruptcy.")

For these reasons, a creditor's retention of estate property qualifies as an act to exercise control as encompassed by §362(a)(3).

C. § 362(a)(3) Cannot Be Read in Isolation from Other Applicable Sections of the Bankruptcy Code

Other sections of the code that simultaneously interact with § 362(a)(3) require the immediate turnover of estate property and would be rendered useless or diminished if it were not required. § 362(a)(3) must be read to require immediate turnover of estate property held by a creditor. The estate property as described in § 541(a)(1) is by broad by design. *Whiting Pools*, 462 U.S. at 204. Therefore, it is unsurprising that there are many interconnected and cross-referenced

sections of the bankruptcy code when operating within any one section. *See Rutherford*, 329 B.R. at 894 ("Although *Whiting Pools* does not answer the question at issue here, it does refer to the creditor's duty to look to the provisions of the Bankruptcy Code rather than exercising any kind of self-help."). Several sections of the Bankruptcy code are applicable no matter under what chapter a debtor files their petition. *Weber*, 719 F.3d at 78. As such, "'[o]ur interpretation of the Bankruptcy Code starts where all such inquiries must begin: with the language of the statute itself.'" *Cowen*, 849 F.3d at 949 (citing *Ransom v. FIA Card Servs., N.A.*, 562 U.S. 61, 69 (2011)). There are other applicable sections of the bankruptcy code that contradict the 13th Circuit's assumption about § 362(a)(3)'s scope.

1. §363, Use, Sale, or Lease of Property

Under § 363(b)(1) "The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate…" 11 U.S.C. § 363(b)(1). Under subsection (e) of the same section, an entity with an interest in the property to be used, sold, or leased may, by motion to the bankruptcy court to "prohibit or condition such use, sale, or lease as is necessary to provide *adequate protection* of such interest." 11 U.S.C. § 363(e) (emphasis added). The relation between these two provisions are also in disagreement among the Circuit Courts regarding § 362(a)(3). *Thompson*, 566 F.3d at 705 ("A creditor is entitled to adequate protection for its interests, but it is required to seek protection of these interests according to congressionally established bankruptcy procedures rather than by withholding seized property from a debtor's efforts to reorganize."), *see also In re Bernstein*, 252 B.R. 846, 850 (Bankr. D.D.C. 2000) ("[I]t stands to reason that the creditor ought to be able to defend against turnover on the basis of lack of adequate protection before being required to turn over the collateral.") (emphasis added).

The majority approach is the correct interpretation of § 363(e) as it relates to § 362(a)(3) because it is the only interpretation that enforces the plain language meaning of the statute. *See Cowen*, 849 F.3d at 949. The minority approach is obsessed with the adequate protection that is available to a creditor under § 363(e) and the belief that the majority interpretation of § 362(a)(2) destroys that protection. *Bernstein*, 252 B.R. at 851 ("The right of adequate protection cannot be rendered meaningless by an interpretation of §§ 362(a)(3) and 542(a) that would compel turnover even before an opportunity for the court's granting adequate protection."). The minority approach relies on *Citizen's Bank of Maryland v. Strumpf* for support in their argument that to read §§ 362(a)(3), 363(e), 542(a) as self-executing is self-destructive. *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 16, 20 (1995) ("It is an elementary rule of construction that 'the act cannot be held to destroy itself.'") (citing *Texas & Pacific R. Co. v. Abilene Cotton Oil Co.,* 204 U.S. 426, 446 (1907)). "However, if a creditor is allowed to retain possession, then this burden is rendered meaningless-a creditor has no incentive to seek protection of an asset of which it already has possession." *Thompson*, 566 F.3d at 704.

Thus, in order for the language of 11 U.S.C. § 363(e) to have any meaning, Congress must have intended for the asset to be returned to the bankruptcy estate before the creditor seeks protection of its interest." *Id*. The minority approach also ignores the exact language of § 363(e) that states adequate shall be provided *on request*. § 363(e); *see also Weber*, 719 F.3d at 81 ("The Code requires the creditor first to surrender the property. Only then or in conjunction with that surrender may it proceed to "request" from the Bankruptcy Court "adequate protection" for its interests…. The provisions authorizing imposition of such protection operate only upon application of the creditor to the Bankruptcy Court. Unlike section 542(a), these are not self-executing.") (citations omitted); *In re Young*, 193 B.R. 620, 627 (Bankr. D.D.C. 1996) ("[T]he creditor has to take an affirmative act to protect itself, with the alteration being that the Bankruptcy

Code requires that such an act be a request to the court for adequate protection under § 363(e) or § 362(d)(1).")

Therefore, in order for § 363(e) to not destroy itself by its own interpretation, § 363(e) cannot be held to be self-executing, and is therefore not in conflict with the majority approach to § 362(a)(3).

2. § 542, Turnover of Property of the Estate

Under 11 U.S.C. § 542(a):

> "[A]n entity other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate."

In describing § 542(a), the *Whiting Pools* court stated "It requires an entity ... holding any property of the debtor that the trustee can use under § 363 to turn that property over to the trustee.… While there are explicit limitations on the reach of § 542(a), none requires that the debtor hold a possessory interest in the property at the commencement of the reorganization proceedings." *Whiting Pools, Inc.,* 462 U.S. at 205–06 (footnote omitted). The court established that "The Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession. *Id*. at 207. Subsequent courts when interpreting § 362(a)(3) have relied on the precedent of *Whiting Pools*, as well as the "*shall deliver*" language of the statute to require a self-executing turnover of estate property. *Weber*, 719 F.3d at 78; *see also Thompson*, 566 F.3d at 704 ("A reading of 11 U.S.C. § 542(a) also indicates that turnover of a seized asset is compulsory."); *In Matter of Powell*, 555 B.R. 907, 915 (Bankr. S.D. Ga. 2016) ("Appellate courts, however, have consistently concluded that the automatic stay and the turnover provisions of § 542(a) are self-executing and that a creditor cannot

condition return of the car on the debtor's provision of adequate protection that satisfies the creditor.").

The minority approach attempts to circumvent the clear and unambiguous language of § 542(a) by claiming that there is no textual link to §§ 362(a)(3) and 542(a). *Cowen*, 849 F.3d at 949. This argument is invalidated in most instances by the textual connection that binds §§ 362, 363 and 542 due the broad scope of the bankruptcy estate under §§ 541(a) and 541(a)(1). 11 U.S.C. §§ 362(a)(3), 363(b)(1), 363(e), 541(a), 541(a)(1), 542(a). The exact language of § 542(a) is designed to achieve the sole purpose of turning over estate property from the hands of a creditor and into the possession the debtor or trustee. *See Whiting Pools, Inc.,* 462 U.S. at 208 ("Several witnesses at those hearings noted, without contradiction, the need for a provision authorizing the turnover of property of the debtor in the possession of secured creditors.") In the alternative, the minority approach also claims that § 542 is not self-executing, but merely intends for a debtor or trustee to have the option to petition the court to turnover applicable estate property. *See Bernstein*, 252 B.R. at 849-52; *see also Hall*, 502 B.R. at 656-57. The meaning of § 542(a) is clear and concise to the effect it is meant to have estate property. *Del Mission*, 98 F.3d at 1151("11 U.S.C. § 542(a) provides that an entity in possession of estate property "shall" deliver such property to the trustee. This is a mandatory duty arising upon the filing of the bankruptcy petition.") "[T]his interpretation of § 542 in the reorganization context is consistent with judicial precedent predating the Bankruptcy Code." *Whiting Pools, Inc.,* 462 U.S. at 208. Turnover of estate property held by the creditor is logical interpretation of § 542. *Weber,* 719 F.3d at 79 ("By its express terms [542]") (citing *Collier on Bankruptcy* § 542.02 (16th Ed. 2012)).

D. To Rule Against Prepetition Possession of Estate Property not Violating the Automatic Stay Would Go Against the Purpose of the Bankruptcy Code

The majority approach to the interpretation § 362(a)(3) is the only interpretation that furthers the purpose of the bankruptcy proceeding. As stated in *Weber*:

> "The Significant textual enlargement is consonant with our understanding and the Supreme Court's interpretation that Congress intended to prevent creditors from retaining property of the debtor in derogation of the bankruptcy procedure and the braid goals of debtor protection discussed above, without regard to what party was in possession of the property in question when the petition was filed." *Weber*, 719 F.3d at 80.

This opinion was also expressed by the *Thompson* court:

> "Finally, noteworthy additional considerations also militate in favor of placing the onus on the creditor, rather than on the debtor, to seek judicial relief if it believes that its interests are not adequately protected. First, the purpose of reorganization bankruptcy, be it corporate or personal, is to allow the debtor to regain his financial foothold and repay his creditors. *Thompson*, 566 F.3d at 769.

Stated more plainly, "An asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditors lot." *Id.* at 702. The goal of any bankruptcy proceeding is to ensure the protection of estate property for the benefit of both debtors and creditors. *Del Mission Ltd.*, 98F.3d at 1151 ("These cases emphasize the underlying purpose of the automatic stay, which is to alleviate the financial strains on the debtor."); *see also* ("But, as the previous sentence suggests, this is only the "primary" goal – not the only goal. Bankruptcy also operates to ensure the debtor "pay[s] off his debts.") *Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *6 (D.N.J. Nov. 1, 2018); *Inslaw*, 932 F.2d at 1473 ("The object of the automatic stay provision is essentially to solve a collective action problem-to make sure that creditors do not destroy the bankrupt estate in their scramble for relief."). The purpose of the bankruptcy proceeding can only be furthered by adopting the majority approach in the present case.

As the record shows, the petitioner has not sought turnover of the vehicles just to settle his debts, but to ensure that the vehicles are put to the best use and receive the most value. R. at 8. It is undisputed that the petitioner's vehicles are part of the bankruptcy estate under § 541(a)(1). *Id.* at 10. The petitioner received an initial offer for the vehicles from a competitor, which the petitioner had the power to sell under § 363(b)(1). § 363(b)(1) ("The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate…"). The petitioner felt that this initial offer would be the best value for the vehicles, but was unable to complete the sale because of the respondent's refusal to turnover the vehicles after they refused to negotiate the sale with the petitioner. R. at 8. The petitioner was forced to accept the next best offer, which came in $100,000 less than the initial offer. *Id.*

The record establishes that instead of focusing on the orderly liquidation of estate property, the petitioner was forced to continue their adversary proceeding for the turnover of the vehicles to the clear detriment of the estate, the debtor, and the creditor. *Id*. "[I]f persons who could make no substantial adverse claim to a debtor's property in their possession could, without cost to themselves, compel the debtor or his trustee to bring suit as a prerequisite to returning the property, the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced." *Del Mission*, 98 F.3d at 1151 (citing *Knaus*, 889 F.2d at 775.). In the alternative, the debtor was unable to continue operating its business due to the retention of the vehicles after the bankruptcy petition. R. at 6-7. This ultimately forced the debtor to convert their Chapter 11 bankruptcy to a Chapter 7 bankruptcy. *Id.* at 7. The refusal from the respondent again defeated the primary purpose of the bankruptcy procedings. *Knaus*, 889 F.2d at 774 ("We recognized that in chapter 11 proceedings a primary purpose of the automatic stay is to afford debtors an opportunity to continue their business with their available assets."). After the conversion, the petitioner was also burdened from not being in a position to invoke 11 U.S.C. §

721, allowing them to continue operating their business, thus maximizing the value of the estate for the benefit of the petitioner and the creditor. 11 U.S.C. § 721. The actions of the creditor have damaged the debtor's ability to pay their debts, limited the value of the bankruptcy estate, and weakened the creditor's chance of receiving what they're owed.

The minority approach claims that holding a creditor's actions, as in the present case, does not further the purpose of the bankruptcy code. *See Young*, 193 B.R. at 626 ("Beyond being statutorily illogical, the creation of such an affirmative duty on the creditor's part immediately to turn over the property pursuant to the automatic stay would also represent a dramatic shift from pre-Code practice and pre-amendment practice and a dramatic expansion of the automatic stay.") The minority approach also reasons that pre-petition repossession would be a wasted expense for the creditor were they required to turnover estate property. *Young*, 193 B.R. at 627. This argument fails when such expenses would still be incurred by a creditor if the property is turned over under § 542(a); or is allowed to be used, sold, or leased under §§ 363(b)(1), 363(c)(1); when the business is allowed to remain operating under § 721. 11 U.S.C. §§ 363(b)(1), 363(c)(1), 542(a), 721. Holding that § 362(a)(3) would be an improper expansion of the automatic stay ignores the exact language of Congress' amendments to the code. *Weber*, 719 F.3d at 80 ("Although Congress did not provide an explanation of that amendment, the mere fact that Congress expanded the provision to prohibit conduct above and beyond obtaining possession of an asset suggests that it intended to include conduct by creditors who seized an asset pre-petition.") (citing *Thompson,* 566 F.3d at 702).

Therefore, retention of estate property, post-petition, defeats the essential purpose of the bankruptcy proceedings.

III. Awarding Administrative Expenses in Chapter 7 Cases Without Prior Court Approval Will Largely Produce Unequitable Results

The proposition of awarding administrative expenses in chapter 7 cases has historically been rejected by prior courts. *See, e.g., In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996); *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 946 (3d Cir. 1994); *In re Fesco Plastics Corp., Inc.*, 996 F.2d 152, 157 n.5 (7th Cir. 1993); *Goodman v. Phillip R. Curtis Enter., Inc.*, 809 F.2d 228, 231 n.4 (4th Cir. 1987); *In re Am. Motor Club, Inc.*, 125 B.R. 79, 82 (Bankr. E.D.N.Y. 1991). Because equity is a two-way street, this concept should not be used to prioritize certain interests over others. To do so would lead to the potential for inequity in Bankruptcy proceedings.

Contrary to the lower court's findings, this rejection is not based upon inequity. This inference might make sense if we evaluated § 503(b)(3)(D) in isolation. However, as Judge Bonham quoted, "A statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant." R. 18 (quoting *Hibbs v. Winn*, 542 U.S. 88, 101 (2004)).

Judge Bonham's assertion is supported by the interplay of § 503(b)(3)(D) with other sections of the code. 11 U.S.C. § 503(b)(3)(D) . 11 U.S.C. § 507(a)(2) has the most significant and controlling interplay with § 503(b)(3)(D). § 507 outlines the prioritization of claims in a bankruptcy matter. 11 U.S.C. § 507. Subsection (a)(2) gives administrative expenses under § 503(b) the second-highest priority out of ten others. 11 U.S.C. § 507(a)(2).

The court need not engage in a prolonged thought experiment to determine why Congress did not include chapter 7 cases in 503(b). Congress did not include chapter 7 cases because of the level of priority that an administrative expense receives under § 507. The ramifications of allowing chapter 7 claims that do not receive prior court approval are inequitable.

For example, a creditor who files a timely claim in a chapter 7 case stands to have his potential recovery substantially reduced by an administrative expense that is not explicitly mentioned in § 503(b)(3)(D). 11 U.S.C. § 503(b)(3)(D). § 507(a)(2) requires a trustee to pay out an administrative expense ahead of lower priority or general unsecured claims. *In re Javed*, 592 B.R. 615, 618 (Bankr. D. Md. 2018). The court cannot allow this level of inequity to disrupt decades of settled precedent.

In the present matter, the perceived inequity is self-inflicted. The respondent decided to initiate his own investigation into transfers that were made to Patti Clemons. R. 7. The respondent attempted to recoup his expenses after he had conducted the investigation. *Id.* Neither party disputed that the respondent's contribution was substantial. R. 17. However, this does not mean that the respondent's actions were authorized.

The courts are clearly conflicted on the issue of awarding administrative expenses in chapter 7 cases. *Id.* The respondent could have avoided this entire situation by seeking prior approval from the court. 11 U.S.C. § 503(b)(4). This provision of the code further supports the inference that Congress meant to exclude chapter 7 since there is a recourse for creditors like the respondent under the current circumstances.

The respondent may argue that this matter is unique because the respondent's actions are atypical in a chapter 7 case. *Id.* 11 U.S.C. § 503(b)(3)(B) captures this extraordinary circumstance by requiring prior approval from the court. 11 U.S.C. § 503(b)(3)(B). The inequity inferred by the court is not because of the structure of the code. Rather, the wrong in this matter is a misinterpretation of the bankruptcy code. A recourse for the respondent exists which he failed to utilize.

Additionally, if this court were to overturn the decision of the lower court, the respondent would still be able to recover in some from the bankruptcy estate via the personal guarantee from

the original loan and his security interest in the trucks. R. 4. These proceeds would come from the "enhanced...pool of funds available for creditors" due to the substantial contribution made by the respondent. R. 20. Therefore, awarding administrative expenses in chapter 7 cases without prior court approval will largely produce unequitable results.

A. The Respondent Cannot Overcome the Presumption Against Administrative Expenses in Chapter 7 Cases

In *Javed*, the court raised a substantial concern about granting administrative expenses in chapter 7 cases:

> The issue of allowing administrative expenses for substantial contributions in a chapter 7 case is a difficult matter. The chapter 7 process is premised on the appointment of a bankruptcy trustee to administer the estate for the benefit of creditors…Independent actions by creditors during the chapter 7 case potentially could conflict with, duplicate, or undermine the trustee's efforts on behalf of the estate and all creditors. This is very different from the situation in a chapter 9 or chapter 11 case, in which the debtor typically is in control of its property as either a municipal debtor or a debtor in possession. *Javed*, 592 B.R. at 620-21.

The general danger associated with independent creditor actions has the potential to undermine the entire bankruptcy process. The actions of the independent creditor will reinforce his claim at the expense of other creditors. The *Javed* court did find arguments for granting chapter 7 administrative expenses persuasive, but not without establishing a general presumption against them. *Id.* at 622. The court should apply this presumption because of the concerns raised by the *Javed* court.

The presumption requires a creditor to prove that his actions did not intend to impede the progression of a chapter 7 case, were necessary under the circumstances, and provided a substantial benefit to the estate. *Id.* Here, the substantial benefit is not in dispute. The respondent increased the value of the bankruptcy estate by $75,000. R. 7.the respondent's actions also did not impede the progression of the chapter 7 case. The respondent voluntarily turned over documentation

related to the avoidable transfers. *Id.* The trustee was able to resolve the transfer issues quickly. *Id.*

The respondent's actions were not necessary under the circumstances. They were merely in furtherance of his own interest in the estate, which is prohibited. *Ins. Co. of N. Am. v. Sullivan*, 333 B.R. 55, 67–68 (D. Md. 2005). A court has to evaluate what is necessary with a good amount of care. *In re Merry–Go–Round Enterprises, Inc.*, 180 F.3d 149, 157 (4th Cir. 1999). An expense is necessary if it is a necessary cost of preserving an estate. *Id.*

Here, the respondent's expense was not necessary in preserving the estate. Unlike in *Merry–Go–Round Enterprises*, where the cost of preserving a lease was necessary to operate a business in a shopping mall for an eventual sale, the business in this matter was already inoperable. The respondent repossessed the debtor's trucks, which prevented the debtor from fulfilling its plowing contract with the City of Badlands. R. 6.

The respondent's payment was in furtherance of preserving his own interest from the estate, but was not a necessary expense to preserve the estate. *Sullivan*, 333 B.R. at 67–68. Therefore, the respondent cannot overcome the presumption against administrative expenses in a chapter 7 case because the expense was not necessary to preserve the estate.

B. A Sensible Negative Inference Can Be Drawn from The Exclusion of Chapter 7 Cases From § 503(b)(3)(D)

§ 503(b) lists the circumstances where the court may grant administrative expenses. R. 16. § 503(b)(3)(D) authorizes the actual and necessary expenses incurred by certain parties who make a substantial contribution to the bankruptcy estate under chapter 9 or chapter 11. § 503(b)(3)(D). Chapter 7 is not addressed in the subsection. R. 17. Some courts have recently concluded based on the term "including" and principles of equity that the categories listed in § 503(b) are not exhaustive, which does not preclude a court from awarding administrative expenses for a chapter

7 case. *In re Connolly N. Am., LLC*, 802 F.3d 810, 817 (6th Cir. 2015).

The Connolly interpretation is rebuffed by the canon of *expressio unius est exclusio alterius*, also known as the expression-exclusion rule. *United States v. Vonn*, 535 U.S. 55, 65 (2002). The rule establishes that expressing one item of an associated group excludes others not mentioned. *Id.* The rule is applicable where the circumstances of the situation supports a sensible inference that the term was meant to be excluded. *Chevron U.S.A. Inc. v. Echazabal*, 536 U.S. 73, 80 (2002). The inference can be affirmed by demonstrating exclusiveness, identifying a series of two or more related terms that go hand in hand, and the natural association of ideas expressed strongly contrasts with the omission. *Id.* at 80-81.

Here, the negative inference is expressed and supported in two ways. First, there is a connection between the omission of chapter 7 and § 507(a)(2). As discussed previously, awarding an administrative expense gives that claim the second-highest priority out of ten others. § 507(a)(2). It is quite sensible to infer that Congress omitted chapter 7 from § 503(b) because of the level of priority it would receive over other claims.

Second, the negative inference is affirmed through meeting all of the criteria from *Echazabal*. The exclusiveness is demonstrated through the use of the word "or". Grade school taught us very well how conjunctions work. The court must ask the age-old question from Schoolhouse Rock. Conjunction junction, what's your function? Here, "or" limits the circumstances to a choice between two options: either chapter 9 or chapter 11.

This interpretation is in line with maximizing the value of an estate by narrowly construing what is allowed under § 503. *In re Colortex Indus., Inc.*, 19 F.3d 1371, 1377 (11th Cir. 1994); *In re Fontainebleau Las Vegas Holdings, LLC*, 574 B.R. 895, 903 (Bankr. S.D. Fla. 2017). This matter is unlike a situation where an equitable exception might be warranted due to a third-party

being injured by the actions of a trustee. *In re United Educ. & Software*, 2005 WL 6960237, at *8 (B.A.P. 9th Cir. Oct. 7, 2005).

The use of "or" also fulfills the requirement of identifying two or more terms that go hand in hand. Chapter 9 and chapter 11 go hand in hand as they are both situations where administrative expenses will be granted without prior approval under 503(b)(3)(D). "Or" also establishes the natural association between chapter 9 and chapter 11 as the only two situations in which a court will grant administrative expenses without prior court approval.

The association between chapter 9 and chapter 11 strongly contrasts with the omission of chapter 7 by identifying two specific situations where administrative expenses will be granted. As trivial as it may sound, Congress is in the habit of saying what it means in a statute and meaning what it says. *Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000). Therefore, a sensible negative inference can be drawn from the exclusion of chapter 7 cases from § 503(b)(3)(D).

The court in *Connolly* attempted to explain the omission of chapter 7 in § 503(b) as a matter of frequency. *Connolly*, 802 F.3d at 817. The inference is that the omission is not negative, but due to the infrequency of creditors making substantial contributions in chapter 7 cases. *Id.* A stronger inference is that the infrequency is due to the general rejection of administrative expenses in chapter 7 cases by courts en masse. *See, e.g., Lloyd Sec., Inc.*, 75 F.3d at 857; *Lebron*, 27 F.3d at 946; *Fesco Plastics Corp., Inc.*, 996 F.2d at157 n.5; *Goodman*, 809 F.2d at 231 n.4; *Am. Motor Club, Inc.*, 125 B.R. at 82.

The *Connolly* court also focused on the term "including" as evidence that the list in 503(b) was not exhaustive, and therefore does not preclude chapter 7 cases. R.19. The lower court cites two cases to justify why 503(b) was not intended to be construed as a non-exhaustive list. *Id.* On closer examination, these cases do not come close to the matter at bar. *In re Al Copeland Enters.,*

Inc. dealt with the question of whether post-petition interest could be considered an administrative expense. *In re Al Copeland Enters., Inc.*, 991 F.2d 233, 238 (5th Cir. 1993).

The progeny for *Connolly* came from *Reading Co. v. Brown*, which held that damages that resulted from a receiver operating within his scope of authority could be considered an administrative expense. *Reading Co. v. Brown*, 391 U.S. 471, 485(1968). *In re N.P. Mining Co. Inc*. held that civil penalties stemming from environmental violations of the debtor qualified as an administrative expense. *In re N.P. Mining Co. Inc.*, 963 F.2d 1449, 1452 (11th Cir.1992).

These cases do expand the scope of special claims that may qualify as an administrative expense, but that does not afford any support to administrative expenses in chapter 7 cases. The matters cited focus on special situations such as post-petition interest, receiver negligence, and environmental damage.

In contrast, the present matter is focused on frequency. The lower court cited cases that have adopted the view of allowing administrative expenses in chapter 7 cases. R. 18. An infrequent situation is not synonymous with a special situation. Administrative expenses in chapter 7 cases are not special, but merely infrequent.

Additionally, the framing of an administrative expense in a chapter 7 case as a special claim is not practical in the present matter. The respondent's claim is not special. It arises from an investigation into fraudulent transfers. R. 7. Creditors routinely make substantial contributions to benefit estates in chapter 9 and chapter 11 cases. R. 19. While this is not as common in chapter 7 cases, it is not special.

CONCLUSION

For the reasons stated above, we plead with this court to reverse the Court of Appeals for the 13th Circuit and remand this case back to the Bankruptcy Court for the District of Moot to enter judgment that, (1) the respondent has willfully violated 11 U.S.C. § 362(a)(3) and is subject to damages under 11 U.S.C. § 362(k), and (2) that the respondent is not permitted to request an administrative expense in a case under Chapter 7 of the Bankruptcy Code.

APPENDIX A

11 U.S.C. § 362, Automatic Stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1)-(2) (omitted)

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

APPENDIX B

11 U.S.C. § 363, Use, Sale, or Lease of Property

(a) (omitted)

(b)(1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate…

(c)(1) If the business of the debtor is authorized to be operated under section 721, 1108, 1203, 1204, or 1304 of this title and unless the court orders otherwise, the trustee may enter into transactions, including the sale or lease of property of the estate, in the ordinary course of business, without notice or a hearing, and may use property of the estate in the ordinary course of business without notice or a hearing.

(d) (omitted)

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest.

APPENDIX C

11 U.S.C. § 503, Allowance of Administrative Expenses

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)-(2) (omitted)

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) (omitted)

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) (omitted)

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

APPENDIX D

11 U.S.C. § 507, Priorities

(a) The following expenses and claims have priority in the following order:

(1) (omitted)

(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343), and any fees and charges assessed against the estate under chapter 123 of title 28. (footnote omitted)

APPENDIX E

11 U.S.C. § 541, Property of the Estate

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

APPENDIX F

11 U.S.C. § 542, Turnover of Property of the Estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

APPENDIX G

11 U.S.C. § 721, Authorization to Operate Business

The court may authorize the trustee to operate the business of the debtor for a limited period, if such operation is in the best interest of the estate and consistent with the orderly liquidation of the estate.